Case No. 23-1761

UNITED STATES COURT OF APPEALS
FOR THE SIXTH CIRCUIT

JOE BRUNEAU; DAVID PHILLIPS; DANA RALKO; PATRICIA RALKO; MARY RANDALL; OSRO RANDALL; JAMES MRDUTT, ALICIA MRDUTT, *individually and on behalf of all those similarly situated,*

Plaintiffs-Appellants,

v.

MICHIGAN DEPARTMENT OF ENVIRONMENT, GREAT LAKES AND ENERGY; MICHIGAN DEPARTMENT OF NATURAL RESOURCES; FOUR LAKES TASK FORCE,

Defendants,

MIDLAND COUNTY, MI; GLADWIN COUNTY, MI; JOHN DOES 1-100,

Defendants-Appellees.

On Appeal from the United States District Court for the Eastern District of Michigan

BRIEF OF DEFENDANTS-APPELLEES MIDLAND COUNTY, MI AND GLADWIN COUNTY, MI

ORAL ARGUMENT REQUESTED

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DISCLOSURE OF CORPORATE AFFILIATIONS AND FINANCIAL INTEREST

Pursuant to 6th Cir. R. 26.1, Gladwin County, MI makes the following disclosure:

1. Is said party a subsidiary or affiliate of a publicly owned corporation? If yes, list below the identity of the parent corporation or affiliate and the relationship between it and the named party:

   No

2. Is there a publicly owned corporation, not a party to the appeal, that has a financial interest in the outcome? If yes, list the identity of such corporation and the nature of the financial interest:

   No

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STATEMENT IN SUPPORT OF ORAL ARGUMENT

Defendants-Appellees Midland County and Gladwin County request oral argument. The Plaintiffs-Appellants mischaracterize both the facts and the law. It is anticipated that such mischaracterizations will arise again in the Plaintiffs-Appellants' reply brief. Oral argument will be the only opportunity for the Defendants-Appellees' counsel to rebut such statements.

STATEMENT REGARDING JURISDICTION

Defendants-Appellees Midland County and Gladwin County accept the Plaintiffs-Appellants' jurisdictional statement as substantively correct.

COUNTER-STATEMENT OF ISSUES PRESENTED FOR REVIEW

1. Does the evidentiary record support the requisite elements of the Plaintiffs-Appellants' inverse condemnation "taking" claim under Michigan law? The Plaintiffs-Appellants answer: "Yes." The Defendants-Appellees answer: "No."
2. Does the evidentiary record support the requisite elements of the Plaintiffs-Appellants' Fifth Amendment "taking" claim under federal law? The Plaintiffs-Appellants answer: "Yes." The Defendants-Appellees answer: "No."

COUNTER-STATEMENT OF THE CASE

Introduction. The Plaintiffs-Appellants summarize their argument by stating that "Appellees set into motion the destructive forces that caused the [Edenville] Dam collapse by establishing dangerously high lake levels despite knowing that the Dam lacked adequate spillway capacity and was in need of significant repair" (Plaintiffs-Appellants' Brief, p. 8). They rely heavily on the recent Michigan Court of Appeals decision in *Krieger v. Department of Environment, Great Lakes, and Energy*, No. 359859, 2023 WL 5808605 (Mich. Ct. App. Sept. 7, 2023) (Plaintiffs-Appellants' Brief, pp. 8, 11-15, 17-18).

But *Krieger* addressed claims against the state agencies that actually exercised regulatory authority over the dam. It offered only a pre-discovery analysis by reference to the pleadings alone, with the bare allegations of the plaintiffs accepted as "true." *Krieger*, at *2, 13. The analysis is not dispositive against Midland and Gladwin Counties. This case must be decided on the actual evidentiary record as it relates to the Counties.

Substantive Facts. When Boyce failed to satisfy repeated demands by the Federal Energy Regulatory Commission (FERC) for

the spillway capacity to be upgraded, the FERC revoked the Edenville Dam's power generation license effective September 10, 2018. (R. 59-7, Pg ID 3634-3663, FERC Order Revoking Boyce Hydro License; R. 59-8, Pg ID 3774-3775, IFT Final Report, pp. 86-87). Regulatory authority over the dam then fell to the Michigan Department of Environment, Great Lakes and Energy (EGLE). Mich. Comp. Laws §§ 324.31506 et seq. (R. 59-8, Pg ID 3695, IFT Final Report, p. 7).

SUMMARY OF ARGUMENT

To maintain an inverse condemnation claim under Michigan law, the Plaintiffs-Appellants must demonstrate "action" by Midland and Gladwin Counties that constituted (1) an "abuse" of governmental power that was (2) "directly aimed" at the Plaintiffs-Appellants' properties. *Blue Harvest, Inc. v. Department of Transportation*, 288 Mich. App. 267, 277, 792 N.W.2d 798, 805 (2010). The only action by the counties was a petition to maintain the lake level that the FERC had deemed proper for two decades. That petition was not an "abuse," and it was aimed at the lake, not at the Plaintiffs-Appellants' downstream properties.

ARGUMENT

I. The standard of appellate review is de novo.

A district court's grant of summary judgment is reviewed de novo on appeal. *Puskas v. Delaware County, Ohio*, 56 F.4th 1088, 1093 (6th Cir. 2023). Summary judgment is properly granted where "there is no genuine issue as to any material fact and the movant is entitled to judgment as a matter of law." Fed. R. Civ. P. 56(a); *Puskas*, 56 F.4th at 1093. "[T]he mere existence of some alleged factual dispute between the parties will not defeat an otherwise properly supported motion for summary judgment; the requirement is that there be no genuine issue of material fact." *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 247-48 (1986) (emphasis in original).

II. The evidentiary record cannot sustain a Michigan "inverse condemnation" claim against either Midland or Gladwin County.

A. The Plaintiffs-Appellants wrongly interpret *Krieger* as satisfying their burden of proof.

The Plaintiffs acknowledge that "a plaintiff alleging a de facto taking or inverse condemnation 'must establish (1) that the government's actions were a substantial cause of the decline of the property's values and (2) that the government abused its powers in affirmative actions directly aimed at the property.'" *Blue Harvest*, 288 Mich. App. at 277 (Plaintiffs-Appellants' Brief, p. 11).

The *Krieger* case made no such determinations, even as to the "state agencies" before it, and certainly not toward Midland and Gladwin Counties. It addressed the pleadings under Michigan Court Rule 2.116(C)(8), and it did not make factual findings. In the present case, discovery has been completed. The Plaintiffs-Appellants cannot rely upon their allegations but, rather, must produce evidence from which a jury could find in their favor on the legal elements of their claim. *Cox v. Kentucky Department of Transportation*, 53 F.3d 146, 149 (6th Cir. 1995).

B. The Plaintiffs-Appellants have failed to produce evidence to support their Michigan inverse condemnation claim.

Although the counties' petition to set a lake level was an affirmative action, it was neither an "abuse" of governmental power, nor "directly aimed" at the Plaintiffs-Appellants' properties. This action was "aimed" only at Wixom Lake and the property of the Boyce entities, as the mechanism governing greater or lesser outflow from the lake.

Moreover, the Plaintiffs-Appellants complain that the counties failed to undertake the spillway upgrades that the Plaintiffs-Appellants insist were needed, i.e., inaction. Under Michigan law, an inverse

condemnation claim must be based on "action" by the defendant, not inaction. *Blue Harvest, Inc.*, 288 Mich. App. at 277.

III. The Plaintiffs-Appellants cannot maintain a Fifth Amendment "taking" claim against either Midland or Gladwin County.

As acknowledged by the Plaintiffs-Appellants, a Fifth Amendment "taking" claim may assume "one of two forms." *McCarthy v. City of Cleveland*, 626 F.3d 280, 284 (6th Cir. 2010). The Plaintiffs-Appellants' claim is predicated upon a physical intrusion, i.e., flooding of their properties. It is "inappropriate to treat cases involving physical takings as controlling precedents for the evaluations of a claim that there has been a regulatory taking, and vice versa." *Tahoe-Sierra Preservation Council, Inc. v. Tahoe Regional Planning Agency*, 535 U.S. 302, 323 (2002).

The Plaintiffs-Appellants cite *Pumpelly v. Green Bay Co.*, 80 U.S. 166, 181 (1871) for the proposition that a flood can be a taking. But the case law that has developed in the 150 years since *Pumpelly* is not so absolute. The Plaintiffs-Appellants must prove more than the mere happening of a flood upon their properties.

Although the Supreme Court has rejected "a categorical bar to temporary-flooding takings claims," *Arkansas Game and Fish*

Commission v. United States, 568 U.S. 23, 36 (2012), both the duration and frequency of flooding remain critical factors. As long-established by the Supreme Court, "it is the *character of the invasion*, not the amount of damage resulting from it . . . that determines the question whether it is a taking." *United States v. Cress*, 243 U.S. 316, 328 (1917) (emphasis added). Isolated flooding events "do not make a taking." *Ridgeline, Inc. v. United States*, 346 F.3d 1346, 1357 (Fed. Cir. 2003); *Baird v. United States*, 5 Ct. Cl. 324, 329 (1984); *Hartwig v. United States*, 202 Ct. Cl. 801, 809 (1973).

CONCLUSION AND RELIEF REQUESTED

For the reasons described above, the record will not sustain the Plaintiffs-Appellants' Michigan "inverse condemnation" claim or Fifth Amendment "taking" claim against either Midland County or Gladwin County. Summary judgment in favor of the counties should be affirmed.

Respectfully submitted,

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January 31, 2024

CERTIFICATE OF COMPLIANCE

I certify that this brief complies with the type-volume limitation of Fed. R. App. P. 32(a)(7)(B)(i). Exclusive of the items exempted by Fed. R. App. P. 32(f), the brief contains 1,146 words.

The brief has been prepared in a proportionally spaced typeface, TeX Gyre Schola in 14-point type, which complies with Fed. R. App. P. 32(a)(5) and (6).

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January 31, 2024

CERTIFICATE OF SERVICE

I certify that on January 31, 2024, I electronically filed the foregoing with the Clerk of the Court using the CM/ECF system, which will send notification of such filing to all attorneys of record.

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